

**LAW & MOTION CALENDAR
TENTATIVE RULINGS**

September 24, 2026

**Judge R. Shawn Nelson
Department C10**

Department C10 hears law and motion on Thursdays at 10:00 a.m. and 1:30 p.m.

Court reporters: Official court reporters are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth in the Privately Retained Court Reporter Policy on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5210. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording, and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling.

NO.	CASE NAME	MATTER
10:00 a.m		
1	Ong vs. Best Landscape, Inc	The motion by Hai H. Lai to be relieved as counsel for Defendant Duke Dang is GRANTED. An attorney may withdraw even without cause as long as "withdrawal can be accomplished without undue prejudice to the client's interests." (<i>Ramirez v. Sturdevant</i> (1994) 21 Cal.App.4th 904, 915.) It is within the court's discretion as to whether to deny an attorney's request to withdraw because such withdrawal would cause injustice or undue delay in the proceeding; however, such discretion is to be exercised reasonably. (See <i>Mandell v. Sup. Ct</i> (1977) 67 Cal.App.3d 1, 4.) A notice of motion and motion to be relieved as counsel under CCP section 284(2) shall be directed to the client and

		shall be made on the Notice of Motion and Motion to Be Relieved as Counsel-Civil form (MC-051). (<i>Cal. R. Ct. 3.1362(a)</i>.) No memorandum is required for the motion. (<i>Cal. R. Ct. 3.1362(b)</i>). The motion shall be accompanied by a declaration stating in general terms, without compromising the confidentiality of the attorney-client relationship, why counsel is making a motion instead of filing a consent. (<i>Cal. R. Ct. 3.1362(c)</i>). If the motion is served by mail, it shall be accompanied by a declaration stating facts showing either that (1) the service address is the current residence or business address of the client or (2) the service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days prior to filing the motion. (<i>Cal. R. Ct. 3.1362(d)</i>). The motion may be brought on various grounds, some of which include the client's failure to pay attorney fees (<i>People v. Prince</i> (1968) 268 Cal.App.2d 398, 406), the client's insistence on an action that is not justified under existing law or by good faith argument (<i>Estate of Falco v. Decker</i> (1987) 188 Cal.App.3d 1004, 1015), and a conflict of interest between counsel and the client (<i>Aceves v. Superior Court</i> (1996) 51 Cal.App.4th 584, 592). Here, the motion is substantively sufficient. Counsel has provided the reason for withdrawal—a breakdown in the attorney-client relationship. Further, counsel has met the procedural requirements to be relieved as counsel. For these reasons, the motion is GRANTED. This order shall become effective upon the filing of the proof of service of this signed order on the Clients. Moving counsel to give notice.
1:30 p.m.		
1	National Funding, Inc. vs. Segler Concrete Finishing LLC	Attorney Paris Page moves to be relieved as counsel of record for Defendant Segler Concrete Finishing LLC. For the following reasons, the motion is GRANTED. Attorney Paris Page moves to be relieved as counsel of record for Defendant Scott Segler. For the following reasons, the motion is GRANTED. "The attorney in an action or special proceeding may be changed at any time before or after judgment or final determination . . . [u]pon the order of the court, upon the application of either client or attorney, after notice from one to the other." (Code Civ. Proc., § 284.)

		Here, the court has reviewed the materials submitted by Moving Counsel and finds that counsel has complied with the requirements of Rule 3.1362. Attorney Paris Page shall be relieved as counsel of record for Defendant Segler Concrete Finishing LLC and for Defendant Scott Segler. Defendant Segler Concrete Finishing, LLC, is a limited liability company that cannot represent itself and must retain counsel to act on its behalf in court. (<i>See Gamet v. Blanchard</i> (2001) 91 Cal.App.4th 1276, 1284 n.5; <i>Rogers v. Sonoma County Municipal Court</i> (1988) 197 Cal.App.3d 1314, 1318.) While the ban on self-represented artificial legal entities does not prevent the court from granting the motion to withdraw, it will place pressure on Defendant Segler Concrete Finishing, LLC, to obtain new counsel or risk forfeiting important rights through non-representation, such as having a default entered. (<i>See Rogers v. Sonoma County Municipal Court, supra</i>, 197 Cal.App.3d at p. 1318; <i>Ferruzzo v. Superior Court</i> (1980) 104 Cal.App.3d 501, 504.) Defendant Segler Concrete Finishing, LLC, is ORDERED to obtain counsel and file evidence thereof with the court by October 30, 2026. The Clerk is ordered to update the proposed order to reflect the following: • In section 2, add appearances; • Check the box in section 3(b) to indicate Attorney has served client by mail and submitted a sufficient declaration; • Check the box in section 5(a) to indicate the order is effective upon the filing of the proof of service of the signed order on each client; • In section 6, strike the checkmark that indicate the order specifies client's "current" contact information; • In section 6, check the second box to indicate the order sets forth client's "last known" contact information; • Strike the checkmark in section 9(b); and • In section 13, add: Defendant Segler Concrete Finishing, LLC, is ordered to obtain representation and file evidence thereof with the court by October 30, 2026. This order shall become effective upon the filing of the proof of service of this signed order on the Clients. Moving Counsel shall give notice of this ruling.
2	Tran vs J.P. Wood Law Corporation	Defendant Wood & Delgado's demurrer to Plaintiffs' Third Amended Complaint is SUSTAINED. Plaintiffs are granted 20 days leave to amend.

Defendant Wood & Delgado's request for judicial notice is DENIED, as these records are not necessary to the determination of the demurrer. (See *Taylor v. Financial Casualty & Surety, Inc.* (2021) 67 Cal.App.5th 966, 995, fn. 13).

General standard

A demurrer only tests the sufficiency of the pleadings. (See *Satyadi v. West Contra Costa Healthcare District* (2014) 232 Cal.App.4th 1022, 1028 [in analyzing a demurrer, the court looks only to the face of the pleadings and to matters judicially noticeable and not to the evidence or other extrinsic matters]).

In reviewing the propriety of the sustaining of a demurrer, the "court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded. [Citations.] The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.] The judgment must be affirmed 'if any one of the several grounds of demurrer is well taken. [Citations.]' [Citation.] However, it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment."

(*Hale v. Sharp Healthcare* (2010) 183 Cal.App.4th 1373, 1379 [citing *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967]). A court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.)

Statute of Limitations

Plaintiffs My G. Tran, Streamline Dental Solutions, LLC, and Streamline Dental Solutions, CA, LLC assert two causes of action against Moving Defendant, Wood & Delgado, for legal malpractice and breach of fiduciary duty. Defendant Wood & Delgado contends that these claims are barred by the statute of limitations.

A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. (*Boy Scouts of America Nat. Foundation v. Superior Court* (2012) 206 Cal.App.4th 428, 438.) "In order for the bar ... to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint." (*Id.* at 438-439.)

Code Civ. Proc. §340.6, subd. (a), states, in pertinent part:

An action against an attorney for a wrongful act or omission, other than for actual fraud, arising in the performance of

professional services shall be commenced within one year after the plaintiff discovers, or through the use of reasonable diligence should have discovered, the facts constituting the wrongful act or omission, or four years from the date of the wrongful act or omission, whichever occurs first... Except for a claim for which the plaintiff is required to establish the plaintiff's factual innocence, the time for commencement of legal action shall not exceed four years except that the period shall be tolled during the time that any of the following exist:

- (1) The plaintiff has not sustained actual injury.
- (2) The attorney continues to represent the plaintiff regarding the specific subject matter in which the alleged wrongful act or omission occurred.

"Section 340.6 does not commence the one-year limitations period with a single, immediately ascertainable event. Instead, the Legislature decided the statutory period would depend first on the factually intensive question of when the plaintiff discovered, or reasonably should have discovered, the facts constituting the wrongful act or omission."
(Jordache Enterprises, Inc. v. Brobeck Phleger & Harrison (1998) 18 Cal.4th 739, 759).

"[F]or any wrongful act or omission of an attorney arising in the performance of professional services, an action must be commenced within one year after the client discovers or through the use of reasonable diligence should have discovered the facts constituting the wrongful act or omission. In all cases other than actual fraud, whether the theory of liability is based on the breach of an oral or written contract, a tort, or a breach of a fiduciary duty, the one-year statutory period applies." *(Levin v. Graham & James (1995) 37 Cal.App.4th 798, 805).*

Accordingly, the one-year statute of limitations applies to both claims, unless any tolling under Section 340.6 is applicable. Here, Plaintiffs allege that "Plaintiffs did not learn until 2022-2023 that Wood failed to secure required documents, represented adverse parties simultaneously, concealed conflicts of interest, and acted through Wood & Delgado in connection with these failures..." (Third Amended Complaint ["TAC"], ¶ 16). Plaintiffs also allege they "first sustained 'actual injury' within the meaning of Code of Civil Procedure section 340.6, no earlier than March 17, 2022, when the Murray Litigation resolved and the stipulated dismissals fixing Plaintiffs' obligations under the settlement were filed. Plaintiffs filed this lawsuit on March 16, 2023, within one year of actual injury, within one year of discovery, and within one year of the end of representation." (TAC, ¶ 18).

Plaintiffs allege that they sustained injury no earlier than March 17, 2022. Plaintiffs allege that because they filed their

original Complaint within a year of this date, their claims are not time-barred.

However, Defendant Wood & Delgado contends that the Third Amended Complaint was not filed until March 13, 2026, and that the relation-back doctrine does not apply to the claims against Wood & Delgado.

Code Civ. Proc. § 474 provides:

When the plaintiff is ignorant of the name of a defendant, he must state that fact in the complaint, or the affidavit if the action is commenced by affidavit, and such defendant may be designated in any pleading or proceeding by any name, and when his true name is discovered, the pleading or proceeding must be amended accordingly; provided, that no default or default judgment shall be entered against a defendant so designated...

"When a defendant is named in the original complaint by fictitious name, but is identified by his true name in an amended complaint, the relation back doctrine applies and the action commences as to such defendant when the original complaint is filed. However, when a new defendant is added to an action, the action commences as to him at the time the complaint is filed naming him as a new defendant."
(*Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal.App.3d 1351, 1359.)

"Failure to comply with Code of Civil Procedure section 474 does not prevent a plaintiff from filing an amendment adding a new defendant; however, it does prevent the amendment from relating back." (*Fireman's Fund Ins. Co. v. Sparks Construction, Inc.* (2004) 114 Cal.App.4th 1135, 1144 [citing *Davis v. Marin* (2000) 80 Cal.App.4th 380, 387; *Armstrong v. Superior Court* (1956) 144 Cal.App.2d 420, 424].)

Wood & Delgado was not substituted in as a "doe" defendant. Plaintiffs did not assert any "doe" allegations in their original Complaint that was filed on 3/16/23. There are no "doe" defendants named. (See Compl. [ROA 2]). The First Amended Complaint, and the Second Amended Complaint, also do not list any "doe" defendants or contain any "doe" allegations. (See FAC and SAC [ROAs 51 and 124]).

Accordingly, Plaintiffs did not comply with Code Civ. Proc. § 474 with regards to Wood & Delgado.

Furthermore, Plaintiffs failed to oppose the demurrer. (See *Herzberg v. County of Plumas* (2005) 133 Cal.App.4th 1, 20 ["Plaintiffs did not oppose the County's demurrer to this portion of their seventh cause of action and have submitted no argument on the issue in their briefs on appeal. Accordingly, we deem plaintiffs to have abandoned the issue".]).

		Accordingly, the demurrer is SUSTAINED.
		Wood & Delgado shall give notice.
3	Long vs. Glyder LLC	The court issues no tentative ruling for the motion by Glyder LLC and Stuart Solkow's motion to tax/strike costs. After the court entered judgment in this action on 4/23/26, Plaintiff Chen "Peter" Cheng Long filed a memorandum of costs on 05/14/26, seeking \$147,883.54 in costs. (ROA #1343). Defendants filed this motion to tax/strike costs on 05/29/26. (ROA # 1381). After Defendants filed this pending motion to tax/strike costs, on 9/15/26, Plaintiff and Judgment Creditor Long filed a notice of conditional settlement of the entire case. (ROA #1439). Plaintiff did not file an opposition to the motion to tax/strike costs. Given that the parties filed a notice of settlement after the pending motion to tax/strike costs, and given that Plaintiff did not file an opposition, the timing of the parties' conduct suggests to the court that the parties' settlement resolved the issue of Plaintiff's costs. The parties are ordered to appear at the hearing. The court will hear from the parties regarding the settlement and whether or not the issues in this motion have been resolved by settlement at the hearing.
4	Lam vs. Bui	Consistent with the Notice of Withdrawal filed on September 14, 2026 (ROA No. 139), the hearing on the Motion for Sanctions filed by Defendants Huong Bui and Yen Hai Bui on April 6, 2026 (ROA No. 81), is vacated. Motion to Deem Plaintiffs Vexatious The Motion to Deem Plaintiffs Vexatious, filed by Defendants Huong Bui and Yen Hai Bui on April 6, 2026 (ROA No. 79), is DENIED. The term "vexatious litigant" is defined within Code of Civil Procedure section 391, subdivision (b). While multiple avenues of obtaining the designation exist, it is undisputed that only three are potentially relevant within this action. Initially, as noted by Plaintiffs they do not qualify as "vexatious" pursuant to Code of Civil Procedure section 391, subdivision (b)(1), as they have not initiated at least five litigations <i>in pro per</i>. Defendants identify only <i>four</i> proceedings within the last seven years. (See Motion: 3:2-22; See also ¶23 of Huong Bui and Hai Yen Bui Declarations.) Additionally, Defendants neither address nor establish that the identified actions were "commenced, prosecuted, or maintained in propria persona," as required. (Code Civ. Proc., § 391, subd. (b)(1).)

"One becomes a vexatious litigant, as defined in section 391, by taking certain actions while in *propria persona* – that is, while not represented by an attorney." (*Flores v. Georgeson* (2011) 191 Cal.App.4th 881, 885.) While the statute can reach a party who is *presently* represented by counsel, "Plaintiff must have the requisite prior history of litigation in *propria persona*." (*Camerado Ins. Agency, Inc. v. Superior Court* (1993) 12 Cal.App.4th 838, 842 [disagreed with on a different ground in *Holcomb v. U.S. Bank Nat. Assn.* (2005) 129 Cal.App.4th 1494, 1505].)

Here, *several* of the exhibits provided by Defendants confirm that Plaintiffs were represented by Counsel and, specifically, represented by Thanh Nguyen of the KT Law Firm APC. (See Exhibit B [Request for Civil Harassment Restraining Order], Exhibit C [Request for Civil Harassment Restraining Order], Exhibit D [Complaint in *this* action] and Exhibit G [Requests for Dismissal of Civil Harassment Actions]; See also ¶44-¶45 of Huong Bui Declaration [authenticating exhibits].)

Similarly, the fact that Plaintiffs have proceeded with representation defeats the remaining relevant avenues for a determination that Plaintiffs are vexatious.

Pursuant to Code of Civil Procedure section 391, subdivision (b)(2), a person may be deemed vexatious if that person does the following: "After a litigation has been finally determined against the person, repeatedly relitigates or attempts to relitigate, in propria persona, either (i) the validity of the determination against the same defendant or defendants as to whom the litigation was finally determined or (ii) the cause of action, claim, controversy, or any of the issues of fact or law, determined or concluded by the final determination against the same defendant or defendants as to whom the litigation was finally determined." (Code Civ. Proc., § 391, subd. (b)(2) [emphasis added].)

While Defendants repeatedly assert that this civil action is an attempt to relitigate a prior quiet title action (See ¶18-¶20 of Huong Bui and Hai Yen Bui Declarations), Plaintiffs have been represented by Thanh Nugyen, of the KT Law Firm, APC, at all times during these proceedings.

In addition to the above, this Court has expressly found that this action is not an attempt to relitigate issues finally determined within the quiet title proceeding. On June 18, 2026, Defendants' Motion for Judgment on the Pleadings, which asserted the Complaint was barred by *res judicata*, claim preclusion or collateral estoppel, was denied. (ROA No. 114.) While Defendants continue to assert that this civil action is "based on the same property, same facts, same allegations, and same evidence" as the quiet title action (See Notice of Motion: 3:3-5), they offer no argument or evidence which disputes the prior finding.

Lastly, as relevant herein, pursuant to Code of Civil Procedure section 391, subdivision (b)(3), a person may be deemed vexatious if that person does the following: "In any litigation while acting in propria persona, repeatedly files unmeritorious motions, pleadings, or other papers, conducts unnecessary discovery, or engages in other tactics that are frivolous or solely intended to cause unnecessary delay." (Code Civ. Proc., § 391, subd. (b)(3) [emphasis added].)

"What constitutes 'repeatedly' and 'unmeritorious' under subdivision (b)(3), in any given case, is left to the sound discretion of the trial court." (*Morton v. Wagner* (2007) 156 Cal.App.4th 963, 971.) "While there is no bright-line rule as to what constitutes 'repeatedly,' most cases affirming the vexatious litigant designation involve situations where litigants have filed dozens of motions either during the pendency of an action or relating to the same judgment." (*Id.* at p. 972.)

Defendants do not identify any "unmeritorious motions, pleadings, or other papers," any "unnecessary discovery" or any other "tactics that are frivolous or solely intended to cause delay, engaged in by Plaintiffs *in pro per*."

At best, Defendants suggest the civil harassment restraining order proceedings were unnecessary, based on the fact they were eventually dismissed (Motion: 3:18-20; See also ¶13-¶14 of Huong Bui and Hai Yen Bui Declarations); however, Defendants cite no authority which permits the Court to reach such a determination, based merely on the fact a matter was dismissed.

"Not all failed motions can support a vexatious litigant designation. The repeated motions must be so devoid of merit and be so frivolous that they can be described as a 'flagrant abuse of the system,' have 'no reasonable probability of success,' lack 'reasonable or probable cause or excuse' and are clearly meant to 'abuse the processes of the courts and to harass the adverse party than other litigants.'" (*Morton v. Wagner* (2007) 156 Cal.App.4th 963, 972.)

Defendants have established none of the above.

Based on the above, the request to deem Plaintiffs vexatious must be DENIED.

Similarly, the request for an order compelling Plaintiffs to post a security necessarily fails. As Plaintiffs cannot be deemed vexatious based on Defendants' showing, a necessary predicate for posting security has not been met. (Code Civ. Proc., § 391.1, subd. (a).)

Additionally, Defendants have not established that Plaintiffs lack a reasonable possibility of prevailing. The extent of Defendants argument as to this point is the following: "Plaintiff continues to assert duplicative and unsupported

		claims. Accordingly, there is no reasonable probability that Plaintiff will prevail.” (Motion: 5:17-18.) Thereafter, at most, Defendants declare: “Based on the prior adjudication and repeated failure of Plaintiff’s claims, there is no reasonable probability that Plaintiff will prevail in this action.” (¶138 of Huong Bui and Hai Yen Bui Declarations.) Notably absent from the moving papers is any analysis of the claims being asserted or their required elements. Moreover, absent from the Declarations offered by Defendants are any statements disclaiming Plaintiffs’ allegations. Moving party to give notice.
5	Eaton vs. Irvine Parkwood Apartments LLC	Defendants Irvine Parkwood Apartments LLC and Irvine Management Company move to compel Plaintiff Michelle Margot Eaton to arbitrate her claims and to stay this matter. For the following reasons, the motion is GRANTED. <u>Standard on Motions to Compel Arbitration</u> The right to arbitration depends upon contract, and thus, a motion to compel arbitration is akin to a suit in equity seeking specific performance of that contract. (See <i>Little v. Pullman</i> (2013) 219 Cal.App.4th 558, 565.) <u>Applicability of the Federal Arbitration Act (the “FAA”)</u> “The FAA applies to any ‘contract evidencing a transaction involving commerce’ that contains an arbitration provision. [Citations.]” (<i>Carbajal v. CWPSC, Inc.</i> (2016) 245 Cal.App.4th 227, 238, quoting the FAA, 9 U.S.C. § 2.) Where a “contract specifies that claims shall be arbitrated ‘pursuant to the FAA’ . . . there is no ambiguity regarding the parties’ intent[;]” they adopted the FAA to govern their arbitration and the FAA controls.” (<i>Rodriguez v. American Technologies, Inc.</i> (2006) 136 Cal.App.4th 1110, 1122.) More specifically, “when an agreement provides that its ‘enforcement’ shall be governed by the FAA, the FAA governs a party’s motion to compel arbitration.” (See <i>Victrola 89, LLC v. Jaman Properties 8 LLC</i> (2020) 46 Cal.App.5th 337, 346.) Here, the parties agreed that both the procedural and substantive provisions of the FAA shall govern. The agreement provides: “Except as otherwise provided in this Addendum, and notwithstanding any other choice of law provision, the Federal Arbitration Act . . . , including its substantive and procedural provisions, shall govern the interpretation, enforcement, and all proceedings pursuant to or arising out of the Lease and/or this Addendum, including without limitation, any and all questions and disputes regarding the arbitrability.” (Gonzalez Decl., Ex. A at ¶ 1.) As such, both the procedural and substantive provisions of the FAA apply and govern this motion. On a motion to compel arbitration under the FAA, the court’s role is limited to deciding: “(1) whether there is an

agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].)

The FAA does, however, permit agreements to arbitrate to be invalidated by “generally applicable contract defenses, such as fraud, duress, or unconscionability.” [Citations].” (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.) “[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.)

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Existence and Scope of Arbitration Agreement

Here, it is undisputed the parties entered into a lease agreement and arbitration addendum (the “Arbitration Agreement”), which provides:

Any dispute, claim or controversy arising out of or relating to this Lease or your tenancy with Landlord, including the breach, termination, enforcement, interpretation or validity thereof, and including the determination of the scope or applicability of this provision to arbitrate (“Claim” or “Claims”) shall be determined by binding arbitration in the County in which the subject Premises is located, before one neutral arbitrator.

(Gonzalez Decl. ¶ 3, Ex. A at ¶ 1.) The Arbitration Agreement provides for the arbitration to be administered by Judicial Arbitration & Mediation Services (JAMS). (Gonzalez Decl., Ex. A at ¶ 4.)

The parties do not dispute that the causes of action asserted by Plaintiff fall within the scope of the Arbitration Agreement.

The Arbitration Agreement contains a delegation clause, providing: “The arbitrator shall have the exclusive authority to resolve any Claims, including any dispute relating to the interpretation, applicability, enforceability or formation of this agreement and any claim that all or any part of this agreement is unconscionable, void or voidable.” (Arb. Agmt.

¶ 1.)

Defenses to Enforcement

Plaintiff argues the Arbitration Agreement is nevertheless unenforceable under Civil Code section 1953 and/or because the arbitration agreement and delegation clause are unconscionable.

Civil Code Section 1953

Civil Code section 1953 provides that any provision of a lease agreement by which the lessee agrees to modify or waive the lessee's "procedural rights in litigation in any action involving his rights and obligations as a tenant" "shall be void as contrary to public policy." (Civ. Code, § 1953(a)(4).) This statute bars arbitration provisions that cover habitability-related litigation. (See e.g., *Jaramillo v. JH Real Estate Partners, Inc.* (2003) 111 Cal.App.4th 394, 404; *Williams v. 3620 W. 102nd Street, Inc.* (2020) 53 Cal.App.5th 1087, 1092-1093.)

Plaintiff acknowledges that at least one federal district court has concluded the FAA preempts section 1953 in the residential lease context. (*Brooks v. Greystar Real Estate Partners, LLC* (S.D. Cal. 2024) 2024 WL 3411601.) While the district court ruling is not binding on this court, the court notes the *Brooks* ruling is consistent with case law holding the FAA preempts any state law that discriminates against arbitration. (See *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 331-334 [holding that even if a state law is "generally applicable," the FAA preempts the law if it "interferes with fundamental attributes of arbitration," such as a categorical rule of unconscionability declaring a particular type of agreement against public policy]; see also *Chamber of Commerce of the United States of America v. Bonta* (9th Cir. 2023) 62 F.4th 473, 483, 486 [holding the FAA preempts state law that discriminates against arbitration].) "[A] state rule discriminates against arbitration even if it does not expressly refer to arbitration, but instead targets its defining characteristics." (*Chamber of Commerce of the United States of America v. Bonta, supra*, 62 F.4th at p. 486.) This includes "a rule that prohibits an agreement . . . that waives the right to a jury trial. . . ." (*Id.* at p. 483.)

The court finds Civil Code section 1953 discriminates against arbitration and is, therefore, preempted by the FAA.

Delegation Clause

Once the moving party demonstrates the existence of an arbitration agreement with a delegation clause, the court considers whether the delegation clause requires the court to delegate the remaining issues of arbitrability to the arbitrator. (See *Henry Schein, Inc. v. Archer and White Sales, Inc.* (2019) 586 U.S. 63, 69 (*Henry Schein*) ["To be sure, before referring a dispute to an arbitrator, the court

determines whether a valid arbitration agreement exists. [Citation.] But if a valid agreement exists, and if the agreement delegates the arbitrability issue to an arbitrator, a court may not decide the arbitrability issue.”[.])

A delegation to the arbitrator is enforceable so long as it is clear and unmistakable. (*Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 70, fn. 1 (*Rent-A-Center*).)

A delegation clause is treated as a separate agreement to arbitrate. (*Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, 1559-1559.) Thus, “when a party’s challenge is directed to the agreement as a whole—even if it applies equally to the delegation clause [such that if the defense is valid the entire agreement will be unenforceable]—the delegation clause is severed out and enforced; thus, the arbitrator, not the court, will determine whether the agreement is enforceable.” (*Id.* at pp. 1559-1560; *Rent-A-Center, supra*, 561 U.S. at p. 73.)

“ ‘There are two prerequisites for a delegation clause to be effective. First, the language of the clause must be clear and unmistakable. [Citation.] Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability.’ [Citations.] The ‘clear and unmistakable’ test reflects a ‘heightened standard of proof’ that reverses the typical presumption in favor of the arbitration of disputes.” (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 892; *see also, e.g., Malone v. Superior Court, supra*, 226 Cal.App.4th at p. 1560 [finding the delegation clause providing “[t]he arbitrator has exclusive authority to resolve any dispute relating to the interpretation, applicability, or enforceability of this binding arbitration agreement” to be clear and unmistakable]; *Momot v. Mastro* (9th Cir. 2011) 652 F.3d 982, 988 [finding language delegating issues of “the validity or application of any of the provisions of” the arbitration clause to be a clear and unmistakable agreement to arbitrate the question of arbitrability].)

Here, the Arbitration Agreement includes language clearly and unmistakably delegating to the arbitrator questions of arbitrability. The Arbitration Agreement explicitly provides the arbitrator “exclusive authority . . . to resolve . . . any dispute relating to . . . applicability, enforceability, . . . and any claim that all or any part of this agreement is unconscionable, void, or voidable.” (Arb. Agmt. ¶ 1.) The delegation clause is not revocable.

Therefore, the court must delegate arbitrability issues to the arbitrator, barring any specific challenge to the delegation provision itself. (*See Rent-A-Center, supra*, 561 U.S. at pp. 71-73 [holding a party’s challenge to the arbitration agreement as a whole does not invalidate the delegation clause; while courts may consider enforceability challenges specific to delegation clauses, the arbitrator is to consider challenges to the arbitration agreement as a whole];

accord, *Nickson v. Shemran, Inc.* (2023) 90 Cal.App.5th 121, 132.)

Defenses to Enforcement of the Delegation Clause

Plaintiff argues the delegation clause is unconscionable.

A court may refuse to enforce an arbitration agreement that is unconscionable. (Civ. Code § 1670.5.) “The general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.” (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 125.)

Unconscionability has a procedural and a substantive element: the procedural element focuses on the existence of oppression or surprise and the substantive element focuses on overly harsh or one-sided results. (*Oto, LLC v. Kho, supra*, 8 Cal.App.5th at p. 125; *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.)

To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: “. . . the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz, supra*, 24 Cal.4th at 114; *Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 174-175.)

Plaintiff contends the delegation clause is procedurally unconscionable because it is an adhesive contract. A contract of adhesion is “a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Armendariz, supra*, 24 Cal.4th at p. 113.)

Here, Plaintiff submits evidence that she was not “offered the option” to rent without agreeing to the arbitration agreement and that she was not informed she could opt out or reject the provision. (See Eaton Decl. ¶¶ 5-6.) Nevertheless, at the time of execution, Plaintiff Eaton acknowledged she had the opportunity to review the provision in its entirety and seek the advice of counsel of her choosing regarding the Arbitration Agreement. (Arb. Agmt. ¶ 5.) Plaintiff submits no evidence disputing that fact. Therefore, Plaintiff does not establish the delegation clause to be procedurally unconscionable.

Even if the court *arguendo* found the delegation clause to be procedurally unconscionable, Plaintiff Eaton does not show the clause to be substantively unconscionable. Because delegation clauses are treated as separate agreements to

		arbitrate (<i>see Malone, supra</i>, 26 Cal.App.4th at p. 1559), Plaintiff must show the delegation clause <i>itself</i> is substantively unconscionable. Plaintiff does not challenge any term of the delegation clause, instead arguing that the Arbitration Agreement <i>as a whole</i> is unconscionable because it exempts certain claims from arbitration. "[A]ny claim of unconscionability must be specific to the delegation clause. [Citation.]" (<i>Tiri v. Lucky Chances, Inc., supra</i>, 226 Cal.App.4th at p. 244, citing <i>Rent-A-Center, supra</i>, 561 U.S. at p. 73.) In sum, the court finds no procedural or substantive unconscionability. Any remaining arbitrability issues must be decided by the arbitrator. (<i>Henry Schein Inc. v. Archer and White Sales, Inc.</i> (2019) 586 U.S. 63, 65 [holding that "[w]hen the parties' contract delegates the arbitrability question to an arbitrator, the courts must respect the parties' decision as embodied in the contract"].) <u>Stay</u> The proceeding is hereby STAYED pending resolution of the arbitration proceeding. (See 9 U.S.C., § 3.) The court hereby sets an Arbitration Status Conference for <u>June 24, 2027</u>, at 09:00 am in this Department. Defendants to give notice.
6	Adjemian vs. Gallo	Defendant Rafael Gallo moves for leave to file a Cross-Complaint. For the following reasons, the motion is GRANTED. Code Civ. Proc. § 428.10 provides that a party may file a cross-complaint setting forth: "[a]ny cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him." There are two types of cross-complaints: compulsory cross-complaints and permissive cross-complaints. A compulsory cross-complaint is a cross-complaint that is asserted against the plaintiff and related to the subject matter of the complaint. (Code Civ. Proc. § 426.30.) A cross-complaint is "related" to the complaint if it arises out of the same transaction, occurrence, or series of transactions or occurrences as the complaint. (Code Civ. Proc. § 426.10(c).) All other cross-complaints are permissive cross-complaints.

		If the proposed cross-complaint is permissive, leave of court may be granted "in the interests of justice" at any time during the course of the action. (Code Civ. Proc. § 428.50(c).) On the other hand, if the proposed cross-complaint is compulsory, leave <i>must</i> be granted so long as defendant is acting in good faith. (Code Civ. Proc. § 426.50.) Cross-complaints for equitable indemnity are virtually always transactionally related to the complaint that has been filed in the main action. (<i>Time for Living Inc. v. Guy Hatfield Homes</i> (1991) 230 Cal.App.3d 30, 38-39.) This is because "[a]n indemnity claim effectively seeks to apportion among the parties to the indemnity action the precise liability claimed by the plaintiff in the main action; therefore the indemnity claim of necessity arises out of the same occurrences or series of occurrences as asserted by the plaintiff." (<i>Id.</i> at 39.) Here, the proposed Cross-Complaint asserts causes of action for 1) equitable indemnity, 2) contribution and apportionment, 3) declaratory relief, and 4) equitable indemnity based on professional negligence.. The Complaint alleges Defendants failed to disclose certain defects and conditions such as water intrusion and dry rot when Plaintiff purchased the property in November 2020. The proposed Cross-Complaint seeks indemnity or contribution with respect to the claims in the Complaint. Thus, the Cross-Complaint is compulsory. Defendant shall file the Cross-Complaint within 7 days of this ruling. Defendant shall serve the Cross-Complaint in compliance with California Rules of Court Rule 3.110. Defendant shall give notice of this ruling.
7	Petrie vs. CMP-1, L.P.	Defendant CMP-1, LP demurs to the fourth cause of action for intentional infliction of emotional distress (IIED) in the Complaint filed by Plaintiff Shane Petrie. Defendant also moves to strike the punitive damages allegations in the Complaint. For the following reasons, the demurrer is OVERRULED and the motion to strike is GRANTED with leave to amend. Should Plaintiff wish to file a First Amended Complaint, he shall do so by October 8, 2026. In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-05.) A demurrer is limited to the "four corners" of the pleading (which includes exhibits attached and incorporated therein) or from matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452.

"The elements of a cause of action for IIED are as follows: (1) defendant engaged in extreme and outrageous conduct (conduct so extreme as to exceed all bounds of decency in a civilized community) with the intent to cause, or with reckless disregard to the probability of causing, emotional distress; and (2) as a result, plaintiff suffered extreme or severe emotional distress." (*Berry v. Frazier* (2023) 90 Cal.App.5th 1258, 1273, *as modified on denial of reh'g* (May 15, 2023); *Crouch v. Trinity Christian Center of Santa Ana, Inc.* (2019) 39 Cal.App.5th 995, 1007.)

"A defendant's conduct is 'outrageous' when it is so extreme as to exceed all bounds of that usually tolerated in a civilized community." (*Crouch v. Trinity Christian Center of Santa Ana, Inc.* (2019) 39 Cal.App.5th 995, 1007.) "Liability for IIED does not extend to 'mere insults, indignities, threats, annoyances, petty oppressions, or other trivialities.'" (*Ibid.*) "Malicious or evil purpose is not essential to liability for IIED." (*Ibid.*)

Importantly, "whether conduct is 'outrageous' is usually a question of fact." (*Berry v. Frazier* (2023) 90 Cal.App.5th 1258, 1274; see also *Stoiber v. Honeychuck*, (1980) 101 Cal. App. 3d 903, 922 ["Regarding the cause of action for Intentional Infliction of Emotional Distress, the *Stoiber* court held: "it is clear that the availability of a remedy for breach of implied warranty of habitability does not preclude a tenant from suing his landlord for intentional infliction of mental distress if the landlord's acts are extreme and outrageous and result in severe mental distress. Whether this is so under the present allegations, presents a factual question-it cannot be said as a matter of law that appellant has not stated a cause of action."].)

"[T]he standard for judging outrageous conduct does not provide a 'bright line' rigidly separating that which is actionable from that which is not. Indeed, its generality hazards a case-by-case appraisal of conduct filtered through the prism of the appraiser's values, sensitivity threshold, and standards of civility. The process evoked by the test appears to be more intuitive than analytical. ..." (*Berry, supra*, 90 Cal.App.5th at 1274, quoting *KOVR-TV, Inc. v. Superior Court* (1995) 31 Cal.App.4th 1023, 1028.)

Here, Plaintiff has sufficiently alleged that Defendant has "allowed slum living conditions to persist which spread infection, sickness and disease" "for the purpose of causing plaintiffs to suffer humiliation, mental anguish and emotional distress." (Complaint, ¶¶ 46-47.) Defendants have allegedly known and failed to remedy an insect infestation, visible mold and mildew, a leaking roof, leaking and broken windows, and a broken shower / bathtub. (Complaint, ¶¶ 10-14.) Plaintiff suffered from extreme and severe emotional distress. (Complaint, ¶¶ 46-48.)

Whether the conduct alleged is outrageous is a factual question not appropriate for adjudication at the demurrer stage. Thus, the demurrer is overruled.

Civil Code section 3294 states:

"(a) In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.

(b) An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation."

"In addition to the requirement that the operative complaint set forth the elements as stated in section 3294, it must include specific factual allegations showing that defendant's conduct was oppressive, fraudulent, or malicious to support a claim for punitive damages. [citation] Punitive damages may not be pleaded generally." (*Today's IV, Inc. v. Los Angeles County Metropolitan Transportation Authority* (2022) 83 Cal.App.5th 1137, 1193.)

Corporations are legal entities which do not have minds capable of recklessness, wickedness, or intent to injure or deceive." (*Cruz v. HomeBase* (2000) 83 Cal.App.4th 160, 167.) "An award of punitive damages against a corporation therefore must rest on the malice of the corporation's employees." (*Id.*)

"But the law does not impute every employee's malice to the corporation." (*Cruz v. HomeBase* (2000) 83 Cal.App.4th 160, 167.) "Instead, the punitive damage statute requires proof of malice among corporate leaders: the 'officer[s], director[s], or managing agent[s].'" (*Id.*) "Managing agents" are employees who "exercise[] substantial discretionary authority over decisions that ultimately determine corporate policy," such as those "decisions that set these general principles and rules." (*Id.*, at pp. 167-68; *Roby v. McKesson Corp.* (2009) 47 Cal.4th 686, 714-15.)

Here, the Complaint has not adequately pleaded specific facts sufficient to support an award of punitive damages because there are no facts showing malice, oppression, or fraud attributable to any specific officer, director, or managing

		agent of Defendant, which is a business entity. (Civ. Code § 3294(b).) Thus, the motion to strike the punitive damages allegations is granted with leave to amend. The Case Management Conference is continued to December 17, 2026, at 09:00 am in Department C10. Plaintiff shall give notice of this ruling.
8	City of San Clemente, a California municipal corporation vs. Mark R. Middlebrook and Fadia K. Middlebrook, Trustees of the Mark And Fadia Middlebrook Family And Special Neess Trust Of 2012	Discussion re: evidence establishing (1) Tabita Cesario's appointment as general conservator, (2) the scope of her authority to rehabilitate the property, and (3) the availability of funds for that purpose. The Case Management Conference is continued to December 17, 2026, at 09:00 am in Department C10.